

PLTK · FY2025 Q4

Playtika Holding Corp. · 47 turns · 10 participants

CAST (IN ORDER OF APPEARANCE)**Operator**

Operator

Robert Anzacall

Co-Founder and Chief Executive Officer

Aaron Lee

Analyst, McCreery

Clark Lampin

Analyst, VTIG

Eric Handler

Analyst, Roth Capital

Tay Lee

SVP, Corporate Finance and Investor Relations

Craig Abrams

President and Chief Financial Officer

Chris Scholl

Analyst, UBS

Doug Krutz

Analyst, TD Cowen

Matt Cost

Analyst, Morgan Stanley

OPERATOR Operator

and thank you for standing by. Welcome to the Pletika Q4 2025 earnings conference call. At this time, our participants are in listen-only mode. After the speaker's presentation, there will be a question and answer session. To ask a question during this session, you need to press star 1 1 on your telephone. You will then hear an automated message advising your hand is raised. To withdraw your question, please press star 1 1 again. Please be advised that today's conference is being recorded. I would now like to hand the conference over to your first speaker today, Tay Lee, SVP, Corporate Finance and Investor Relations. Please go ahead.

TAY LEE SVP, Corporate Finance and Investor Relations

Welcome, everyone, and thank you for joining us today for the fourth quarter 2025 earnings call for Pletika Holding Corp. Joining me on the call today are Robert Anzacall, co-founder and CEO of Pletika, and Craig Abrams, Pletika's President and Chief Financial Officer. I'd like to remind you that today's discussion may contain forward-looking statements, including, but not limited to, the company's anticipated future revenue and operating performance. These statements and other comments are not a guarantee of future performance, but rather are subject to risks and uncertainties, some of which are beyond our control. These forward-looking statements apply as of today, and you should not rely on them as representing our views in the future. We undertake no obligation to update these statements after this call. We've posted an accompanying slide deck to our investor relations website, which contains information on forward-looking statements and non-GAAP measures, and we will also post our prepared remarks immediately following the call. For a more complete discussion of the risks and uncertainties, please see our filings with the FCC. With that, I'll now turn the call over to Robert.

ROBERT ANZACALL Co-Founder and Chief Executive Officer

Good morning, and thank you for joining us. We finished 2025 with a strong fourth quarter that shows our plan is working and the business continues to show bright spots. In Q4, we delivered \$678.8 million of revenue and \$201.4 million of adjusted EBITDA. Driven by D2C growth, our pivot to casual and super player results. Here is the main point. We are building a balanced set of assets. Every year, more revenues comes from long-life casual games with board reach, and D2C is now core to how we run the business. At the same time, our legacy games still matter. There are still meaningful sources of cash flow, and we are managing them with a focus and care a part of a

portfolio, not as one game company. This mix is more balanced, less dependent on any single category, and better positioned to deliver durable free cash flow. First, D2C. D2C keeps growing and adds more value for Platica. In Q4, D2C was 36.8% of our revenues, and we ended the year at about \$1 billion in annual D2C revenue. This marks a clear shift in how we engage with players and process transactions. We are building a multi-channel D2C strategy, and we are consistently optimizing those channels to improve unit economics and strengthen our business over time. Second, our casual games. In Q4, casual revenues was about 74% of total revenue. We have evolved our portfolio over the last five years. This borders the business and supports a steadier path. Third, Super Play. Super Play delivered record revenues in Q4, with Disney Solitaire up 21.4% quarter over quarter, and now our second largest game in the portfolio. We see improvements in Dice Dreams, and continuous growth in Domino Dreams. SuperPlay's growth this year is nothing short of amazing. It makes them one of the fastest growing studios in the mobile gaming industry at their scale. We acquired SuperPlay to add top casual games, bring a new growth engine, and widen our base with long life assets. The performance supports this decision and raises our confidence in Super Play. This acquisition highlights a cost-threat at Playtika, recognizing amazing teams and backing them with a capital and operating discipline. With Super Play, we invested behind a talent team with a great potential and provide the financial flexibility to scale games. This reflects our disciplined approach to allocating capital when talent, product, and returns align, and the same playbook guides how we run the entire company. We act from position of strength. We focus on returns, relocating, spend, and generating cash. With that, I will turn the call over to Craig to review our financial outlook and capital allocation framework.

CRAIG ABRAMS President and Chief Financial Officer

Thank you, Robert, and good morning. Q4 reflects the strength of our model and a mixed shift that is now clear in the results. We came in ahead of our revenue and adjusted EBITDA guidance, set another D2C record, and saw outstanding momentum from Super Play. This is now the third straight year we have met or exceeded our adjusted EBITDA guidance, reflecting the strength and consistency of our operating model. I also want to reinforce how we run the company. We manage Playtika as a portfolio. We protect and strengthen leadership positions in our key casual franchises. We scale capabilities like D2C that improve our unit economics across the business. And we maximize the lifetime value of our social casino themed titles while staying disciplined on returns and costs. On social casino themed games specifically, these games operate in a tough crowded market and the mobile industry has evolved since our IPO. It's not a reason to be defensive, it's a reason to be decisive. Our goal is clear. Slow the decline and get full value from these assets. Refund where returns make sense, extend the life of older titles, and step back where the bar is not met. We were pleased to see early signs of stabilization in Slotomania in the quarter. To be clear, we remain focused on stability and value when we build the next phase. And to keep resources concentrated on our more attractive opportunities, we streamlined parts of the organization, and plan to redeploy investment behind the areas with the strongest returns. The mix is improving, our growth engines are working, and we are building a more resilient Platica. Turning to the financial results for the year, revenue was \$2.755 billion, up 8.1% year-over-year. We generated net loss of \$206.4 million, adjusted net income of \$197.5 million, and adjusted EBITDA of \$753.2 million, down 0.6% year-over-year. Our net loss margin was minus 7.5%, our adjusted net income margin was 7.2%, and our adjusted EBITDA margin was 27.3%. We generated record free cash flow of \$481.6 million, an increase of 21.4% year-over-year. We are managing CapEx and working capital tightly, and we remain focused on delivering strong free cash flow generation over time. Now to the quarter. Revenue was \$678.1 million, up 0.6% sequentially, and up 4.4% year over year. Net loss was \$309.3 million, compared to net income of \$39.1 million in Q3, and a \$16.7 million loss in Q4 of 2024. The net loss was primarily driven by the non-cash impact of re-measuring contingent consideration related to the super play earn out, which flows through GAAP results but is excluded from our adjusted net income and adjusted EBITDA. Adjusted net income was \$89 million compared to adjusted net

income of \$65.8 million in Q3 and \$27 million in Q4 of 2024. Adjusted EBITDA was \$201.4 million, down 7.4% sequentially and up 9.5% year-over-year. Our adjusted EBITDA margin was 29.7% compared to 32.2% in Q3 and 28.3% in Q4 of 2024. Direct-to-consumer was a key driver of both performance and mix. D2C revenue reached \$250.1 million, growing 19.5% sequentially and 43.2% year-over-year, reflecting broad-based contributions across our games. Turning now to our business results for the quarter for our top three revenue games. Bingo Blitz revenue was \$158.5 million, down 2.5% sequentially and essentially flat year-over-year. We drove engagement with focused in-game and out-of-game campaign around Bingo Blitz and Garfield collaboration, including a new themed bingo room featuring a cooperative mini game where players work together to progress through Garfield content. We also introduced a new gameplay mechanic that has players find Garfield within bingo cards, and we closed the quarter with an innovative experience that offers eight bingo cards per session instead of the usual four. Disney Solitaire revenue was \$71.6 million, up 21.4% sequentially. By Q4, the title had scaled rapidly and was approaching a \$300 million annualized run rate, reflecting its strong momentum since its global launch in April 2025. Results have been driven by product execution and steady tuning, including new feature launches, game economy updates, and continued improvement in unit economics through direct-to-consumer. We've also seen traction internationally, including Japan, which further validates the global appeal of the franchise. For the full year, Superplay generated about \$573 million of revenue, a 67.5% increase from the \$342 million baseline tied to the year now. The studio is doing this while staying focused on long-term fundamentals, engagement, retention, and live operations. As we shared previously, we've expanded our collaboration with Disney and Pixar Games and are developing a new title in the Superplay pipeline. June's Journey revenue was \$70 million, up 2.5% sequentially and down 2% year-over-year. June's Journey continues to maintain its position as the highest grossing hidden object game worldwide. In Q4, engagement benefited from a strong content cadence and seasonal programming, including the Wicked IP collaboration. Direct-to-consumer is relatively new for June's Journey. We've scaled it quickly across both iOS and Android, and we continue to see it as a durable lever to deepen player relationships and improve unit economics over time. Turning now to specific line items in our P&L for the fourth quarter. Cost of revenue increased 4.5% year-over-year, driven by revenue growth offset by platform mix. Operating expenses increased 100.3% year-over-year, driven primarily by the gap impact of continued consideration related to the SuperPlay Yarn Out. Excluding the change in contingent considerations, as well as expenses associated with our long-term cash compensation program that expired in 2024, operating expenses increased by 5.4%. R&D expenses increased 13.8% year-over-year, driven primarily by higher headcount following the SuperPlay acquisition and continued investment to support the growth of the SuperPlay Studio. Sales and marketing increased 9.6% year-over-year, reflecting higher user acquisition spend due to the full quarter impact of Super Play, as well as the sequential step-up in marketing investments that we previewed on last quarter's earnings call. G&A increased 383.5% year-over-year, driven primarily by the \$394.1 million contingent consideration expense recorded in the quarter related to the Super Play earn-out. Excluding the impact of contingent consideration and expenses associated with our long-term cash compensation program, G&A would have declined by 22% year-over-year. To provide more clarity, a brief word on the earn-out mechanics. The super plate earn-out this year is tied to revenue growth versus a \$342 million revenue baseline, with a step-up in multiple above certain thresholds. Changes in fair value of the contingent consideration run through GAAP G&A, but they are excluded from adjusted net income and adjusted EBITDA and do not change the underlying cash terms of the earn-out. We ended the year with \$820.2 million in cash, cash equivalents, and short-term bank deposits, and we expect to fund the Super Play earn-out from cash on hand. Looking at our operational metrics, average DPU increased 0.8% sequentially and 5.3% year-over-year to \$357,000, Average DAU decreased 3.7% sequentially and 1.3% year-over-year to \$7.9 million. ARPDAU was \$0.93 in the quarter, up 4.5% both sequentially and year-over-year. Onto our outlook for 2026, our guidance reflects a business that has been undergoing a strategic shift. Growth titles led by Super Play are driving material revenue. Our industry-leading casual franchises Bingo Blitz, June's Journey, and Salto Grand

Harvest continue to benefit from live ops and rising direct-to-consumer contribution. In Social Casino, revenue is declining and our focus is on protecting the economics of those franchises and maximizing cash flow through discipline management and operating efficiency. We also want to be clear that direct-to-consumer is a core and growing part of our business, and we are executing to expand it. At the same time, We are taking a measured view of any incremental benefit tied to the evolving platform policy landscape, and our guidance does not assume any single policy outcome. With that context, our guidance for full year 2026 is as follows. Revenue of \$2.7 to \$2.8 billion. Adjusted EBITDA of \$730 to \$770 million. Capital expenditures of \$80 million. and an effective tax rate of 30%. We also expect our marketing spend to be weighted toward the first half of the year, particularly the first quarter, which we expect to result in lower adjusted EBITDA in the first quarter and higher adjusted EBITDA in subsequent quarters. Finally, capital allocation. When we initiated our dividend, the intent was to provide an attractive return to shareholders while we executed on our strategic priorities including restarting M&A and repositioning the portfolio. We've made real progress against those priorities. We have scaled D2C to record levels. We have successfully ramped up super play, and it is performing in line with and in certain areas ahead of the expectations we had at the time of the acquisition. We have also sharpened our operating model and reset our cost basis. At this stage, our capital allocation framework needs to reflect both the opportunities in front of us and the performance-based nature and potential size of the super play earn out. To preserve flexibility and direct capital to the highest return uses, we are suspending our quarterly dividend. With respect to share repurchases, we intend to keep buybacks available within our capital allocation framework. We will continue to evaluate our capital structure over time, including opportunities to reduce debt where it makes sense, while maintaining balance sheet capacity to fund potential obligations and invest behind growth. As we take these steps to focus capital on the highest return opportunities, we remain fully committed to enhancing long-term shareholder value. With that, we'd be happy to take your questions.

OPERATOR Operator

Thank you. At this time, we'll conduct a question and answer session. As a reminder, to ask a question, please press star 1-1 on your telephone and wait for your name to be announced. To withdraw your question, please press star 1-1 again. Please stand by while I compile the Q&A roster. Our first question comes from Aaron Lee from McCreery. Please go ahead.

AARON LEE Analyst, McCreery

Hey, guys. Good morning. Thanks for taking the question, and congrats on the quarter. I just wanted to talk on a general level about AI. I know you guys mentioned this in the letter around workforce reduction. Just curious if you could expand on how you view the role of AI within your business. How are you using it today, and what have been the early learnings? And looking forward, where do you see the greatest opportunities? Thanks.

ROBERT ANZACALL Co-Founder and Chief Executive Officer

Thanks for the question. So as we spoke in the last few years, we started investing in AI, I think, six, seven years ago. We opened a few labs in Platica, and we always understood that this will be part of the future growth. Right now, what we see, we see revolution happening. And we have, for us, this is an amazing opportunity because when you look at Platica today, our asset is the community and the content. This is our asset. We see the AI opportunity as a new platform. We see something that can grow our business. We are very excited. We are following every trend that's happening in the market. And I'm sure that for us, it's going to be one of our growth engines in the future.

AARON LEE Analyst, McCreery

Gotcha. Thank you. And then on capital allocation, appreciate all the comments there. How should we be thinking about your appetite for M&A at this point? Does that fall under the category of investing behind high return growth? Thanks.

CRAIG ABRAMS President and Chief Financial Officer

Thanks for the question, Aaron. M&A has always been a core part of our growth strategy. Super Play has been a tremendous transaction for us. And given the growth and strong growth that we've seen through the year, We plan to continue to invest aggressively in growing that within the constraints of the earn out. As we look at overall capital allocation, we want to continue to invest in the best ROI opportunities possible and investing in the Super Play earn out and the Super Play platform is definitely the highest priority capital use for us. As we look at other M&A opportunities, obviously we're always going to try and be opportunistic, but obviously cognizant of the fact that we want to maximize liquidity and balance sheet flexibility as we move forward.

AARON LEE Analyst, McCreery

Got it. Appreciate the call there. Great job with Super Play. Thank you.

OPERATOR Operator

Thank you. Our next question comes from Eric Handler from Roth Capital. Please go ahead.

ERIC HANDLER Analyst, Roth Capital

Good morning. Thanks for the question. I'm curious, you know, as you look to transition more people to the DTC platform, What type of incentives are you giving people to move off of iOS or the Google or Android platform, you know, in terms of, I assume, some percentage higher of incremental virtual currency or items? So just trying to get a sense of how that's working.

ROBERT ANZACALL Co-Founder and Chief Executive Officer

Thanks for the question. So first, to say again, the D2C become one of our biggest part of growth. cash flow growth in the last few years. We are on a run with \$1 billion. I think we are leading the industry. I don't think even somebody is close to us. At the end of the day, we're giving a better experience to the users. We are closer to him. We can provide more support to him. I think the advantage of having such a huge DTC platform is the connection, the right connection to the players. It will help with retention. It will help with long-time play game. So for us, this is one of the most important stuff. And as we started the D2C, we always knew that it's going to be one of Platica straight, one of Platica engine growth for cash. And this is what we're doing.

ERIC HANDLER Analyst, Roth Capital

Thank you, Robert.

OPERATOR Operator

Thank you. Our next question comes from Chris Scholl from UBS. Please go ahead.

CHRIS SCHOLL Analyst, UBS

Great. Thank you. Just to follow up on the 2026 guidance, can you frame or quantify what this assumes for slotomania and the social casino performance as you seek to ramp newer IP in that category? And as you think about performance coming in at the higher or lower end of those ranges, what are some of the biggest variables in your mind?

CRAIG ABRAMS President and Chief Financial Officer

Sure. Thanks for the question. As you've seen, we've been undergoing a mix shift. I'm proud to say that our business is now 74% casual, and that continues to be the fastest growth part of the business driven by Super Play. As we look and give forward guidance, obviously, you know, continued overperformance from the Super Play titles is definitely there on the upside case. And on the downside case, you'd see, you know, probably continued declines on the social

casino portfolio. And so that's, you know, that mix shift obviously impacts margins. But I think as we look at the guidance and our consistency over the past three years, either meeting or beating expectations on the EBITDA side, we have confidence in our ability to execute there and continue to focus on that transition towards a more casual, healthier mix going forward.

CHRIS SCHOLL Analyst, UBS

Okay, great. Thank you. And then if I can fit in one more, the D2C mix was, clearly well ahead at 37% versus the 40% mix I think you've previously talked about reaching in two years. Any updated thoughts on that longer term target and where is the natural limit as we try to gauge how high this could ultimately reach? Thank you.

CRAIG ABRAMS President and Chief Financial Officer

Sure, good question. Our previous long term target was 40% of revenue. We'll continue to keep that just given all of the various policy changes in the background. Our target does not assume one outcome or the other as it relates to things outside of our control. It's really focused on what we can control in our own execution.

CHRIS SCHOLL Analyst, UBS

Okay, great. Thank you.

OPERATOR Operator

Thank you. Our next question comes from Matt Cost from Morgan Stanley. Please go ahead.

MATT COST Analyst, Morgan Stanley

Good morning. Thanks for taking the questions. Just first on Disney Solitaire, obviously that game's on a really great trajectory for just looking at some of the third-party data out there, it looks like it's kind of shifted upward again year-to-date in 2026. I guess, is that a function of live services in the game? Is it because you've kind of hit a seasonal bump in marketing, which you typically see in the first quarter, and you're kind of allocating a lot of it towards that game, I guess? How should we think about the trajectory as you move through 2026 from here? That's question one. Question two for Craig, obviously, a lot of shift towards BTC in the quarter. It seemed to impact gross margins a little bit less than I would have expected, just given the magnitude of impact, you know, to revenue mix on DTC. So, I guess, are there any cross-currents in gross margins that we should be cognizant of that prevent, you know, like a sudden increase in gross margin as you see the dollars flowing through DTC? Thank you.

CRAIG ABRAMS President and Chief Financial Officer

Thanks, Matt. I'll take the first one on Disney Solitaire, and Tay will take the second piece on gross margins. So Disney Solitaire is off to a great start to 2026. As we referenced in the prepared materials, there's a meaningful investment in marketing dollars in the first quarter. And so anticipate EBITDA will be impacted in Q1, but then moderate throughout the year. And so I think you're going to see that larger investment drive real growth. It's one of the best ROIs we have within the portfolio in terms of deploying marketing dollars.

TAY LEE SVP, Corporate Finance and Investor Relations

And, Matt, on the gross margin point, you're right to call out some of the cross-currency you're seeing. You're seeing the benefit in lower platform fees in terms of revenue from an increased DTC mix, but that is offset by increased amortization coming from past acquisition that's flowing through our P&L.

MATT COST Analyst, Morgan Stanley

Great. Thank you.

OPERATOR Operator

Thank you. Our next question comes from Jason Bassinet from Citi. Please go ahead.

ERIC HANDLER Analyst, Roth Capital

Thanks so much. I was just wondering, Craig, if you could just unpack that \$400 million roughly change in the contingent consideration. Is that composed of like 225 on the 25 payout that hasn't gone out the door plus a 180 or so on the 2026 payout? And if that's true... What, if anything, can you share about the EBITDA margins at Super Clay to sort of trigger that 180 on the 26th payout?

CRAIG ABRAMS President and Chief Financial Officer

So if you look at the contingent consideration that we have payable due at the start of Q2, you'll see in short-term payables, you'll see an estimate of the earn-out amount. We have the year one earn-out payable at the start of Q2, and then obviously each year thereafter, years two and three, we'll have earn out payable before given the strength on the performance there. You see higher, a higher earn out payment and therefore higher contingent consideration. The EBITDA is in line with, in order to pay the earn out in year one was less than \$10 million. And so while we can't say the specific amount, they obviously are eligible for the earn out and had an EBITDA loss better than minus \$10 million.

ERIC HANDLER Analyst, Roth Capital

but there's nothing, there's nothing prospective in those earn outs for 2026. Like you're not positing what the, what the, what the earn out will be in 26. These are all just burnouts backward looking, if that makes sense.

CRAIG ABRAMS President and Chief Financial Officer

Um, no. So the contingent consideration amount in total takes into consideration future earn out payments as part of, uh, the Monte Carlo simulation and coming up with the present value of that payment. But in terms of what's actually payable, it's in our payables in the balance sheet.

ERIC HANDLER Analyst, Roth Capital

Okay. Is the trigger, am I right, that the trigger is greater than 5% EBITDA margins?

CRAIG ABRAMS President and Chief Financial Officer

Year two, which is 2026, it's greater than 5% margin. And there's a 0.25X multiple premium on revenue if they get to a 10% margin.

ERIC HANDLER Analyst, Roth Capital

And so is it fair to assume based on the \$400 million that you're between that 5% and 10% margin on super play, or is that wrong? Is that the wrong implication?

CRAIG ABRAMS President and Chief Financial Officer

No, that's for 2026. For 2025, which is the first year of the performance earn out, it's just doing better than minus 10 in EBITDA. So you can assume that. Thank you.

OPERATOR Operator

Thank you.

CRAIG ABRAMS President and Chief Financial Officer

You got it.

OPERATOR Operator

Thank you. Our next question comes from Clark Lampin from VTIG. Please go ahead.

CLARK LAMPIN Analyst, VTIG

Thanks for taking the question, Craig. I have two on DTC, if I may. You mentioned that you're relatively earlier on with the transition for June's journey. Could you just remind us if there are titles across the portfolio that don't have a meaningful DTC presence or similar to June's, maybe a more nascent one at this stage? And then maybe a naive question on DTC. When we think about that sort of revenue stream for you guys right now, is that spend that's solely captured from your players in a browser environment, or have you also set up link outs for the app store version or app version of your games for players that might prefer to engage with the titles in that format? Thank you.

CRAIG ABRAMS President and Chief Financial Officer

Thanks, Clark. So at this point, We have broad penetration of D2C across the portfolio. So those casual titles that we had flagged previously years ago are now well penetrated in terms of their D2C base and growing. We had pretty good broad growth across the portfolio. Based on platform changes, we've seen increases across the platforms on mobile with link outs as a new means of growing D2C. And so there's a variety of channels there that we deploy, and each game has its own roadmap and is out there executing.

CLARK LAMPIN Analyst, VTIG

Okay, if I may very quickly, just sort of a quick follow-up on marketing. Relative to the sort of 761 million that we saw called out in the K, can you give us, is it possible to give us a sense of sort of what's budgeted for 2026 or maybe even a more directional indicator of I guess sort of within this question, I'm curious if you see in Q1 that the returns are really healthy for Disney Solitaire. Do you have the flexibility over the balance of the year to invest behind that title or new ones if you believe that the returns justify it? Thanks.

CRAIG ABRAMS President and Chief Financial Officer

Yeah, unfortunately we don't break out the guidance on marketing dollars for next year. What I can say is that there are constraints around and that they're under an earn-out. And so, you know, given the previous question, you know, they're targeting between, you know, 5% or greater margins. So while, you know, the foot's on the gas from a marketing perspective there and driving growth, at some point that will have to moderate to ensure that they're able to drive margins into that 5% or 10% or greater from an EBITDA perspective. And so that's really the only commentary there.

CLARK LAMPIN Analyst, VTIG

Thank you.

OPERATOR Operator

Thank you. Our next question comes from Doug Krutz from TD Cowan. Please go ahead.

DOUG KRUTZ Analyst, TD Cowen

Thank you. Just wondering if you'd give an update on the status of Jackpot Tour. Is that a game you intend to be putting significant marketing dollars behind in Q1 in the first half? And how does that game factor into your guidance? Thank you.

ROBERT ANZACALL Co-Founder and Chief Executive Officer

Thanks for the question. So as we said, we launched the game. We are still checking the KPIs. I can say that we are not sure 100% we're going to open it strongly in the coming few weeks. We need still to see the numbers that we are used to. So it's in progress. And it's part of our strategy around the slots game. And we see, I want to take this opportunity to say that Slotomania After many, many quarters going to room, queue over queue this quarter, this is big news for us. This is big news for the industry of the social casino. And as I said in the beginning, the jackpot tool is part of our strategy there. Thanks.

DOUG KRUTZ Analyst, TD Cowen

Thank you.

OPERATOR Operator

I am showing no further questions at this time. Thank you for your participation in today's conference. This does conclude the program. You may now disconnect.